

NAVIGATING THE EDTECH ROAD

**\$1.8
BILLION**

Total funding raised
by edtech start-ups in
2022, research from
PwC shows

**\$30
BILLION**

Expected size of India's
edtech market by 2032,
says a research report
from RBSA Advisors

About 40-50 per cent of that would be tech-enabled, meaning \$30-\$40 billion will be the size of the edtech market opportunity in 2047. There is a high chance that I will be proven wrong on the upside."

Ashwin Damera, CEO and Founder of executive education firm Eruditus, agrees. "More than 50 per cent [of the population] is below the age of 25, which means about 600 million-plus Indians will be either in school or in college. That is nearly twice the population of the next largest democracy, the US," he says. If this 600 million has to be a part of India's demographic dividend, they all have to be educated, either via formal education or through skill development. Damera suggests that the current educational infrastructure may not be able to accommodate all learners and that edtech companies can play a significant role by providing upskilling or reskilling opportunities through technology solutions, or by assisting traditional institutions in offering online degrees using their technology tools.

"We will witness 'made in India' learning programmes going global, making India's edtech an attractive investment destination. It will also open doors for a thriving gig economy, with skill development, career training, and knowledge exchange opportunities for students and teachers," says Divya Gokulnath, Co-founder, BYJU'S.

Phalgun Kompalli, Co-founder of edtech platform upGrad, is calling on the government to make a sub-



"In the next 25 years, Bharat is expected to see a significant shift towards urbanisation. This will enable more people to access modern tech and services... [and] present a range of opportunities in various domains"

RAMKUMAR NARAYANAN

CHAIR-NASSCOM PRODUCT COUNCIL AND VP TECHNOLOGY & MD, VMWARE SOFTWARE INDIA



"Akin to how UPI transformed digital payments in the past decade, other public digital platforms could provide unprecedented opportunities to advance financial inclusion for the next half-billion [users] and MSMEs"

TREASA MATHEW

DIRECTOR-INVESTMENTS, OMIDYAR NETWORK INDIA

stantial increase in funding available for higher education, which he says will help to further promote adult- and skill-based learning as mainstream education options.

THE FUTURE IS SaaS

India's SaaS progress is irrefutable and its future trajectory is promising, whether measured in total annual recurring revenue (ARR) of \$12-\$13 billion in 2022, up four times over the past five years; or investment of approximately \$5 billion in 2022, up six times, says a recent report by Bain & Company. Of the 1,600 Indian SaaS companies that have now been funded over the past five years, around 14 of them exceed \$100 million in ARR (vs around five in 2020) and are reaching this growth milestone as quickly as their US counterparts.

"The trajectory (for Indian SaaS firms) will be faster-paced than what IT services had 20-25 years ago. More and more companies will get created. They will serve global markets to attain a certain size in revenue. A fair percentage of those companies will also serve Indian customers because the Indian market is growing and companies are willing to pay for software," says Nilesh Patel, Co-founder and CEO of sales automation firm LeadSquared.

Ritu Verma, Co-founder and Managing Partner of VC firm Ankur Capital, expects the adoption of SaaS to grow significantly in India over the next few years with sachet SaaS servicing smaller businesses. Bain